

are and decide which makes more sense, depending on your budget. The good news is that you may be able to subtract the premiums you pay on PMI from your taxable income. Many people who take out thirty-year mortgages do not actually expect to keep their homes for that long. That's why you should ask your lender about **lender-paid mortgage insurance (LPMI)**. With LPMI, the lender takes care of the insurance premium, and you pay it back slowly with a somewhat higher interest rate (about one quarter of one percentage point) over the length of the loan. The advantage is less of a cash outlay month to month. The downside is that you'll keep paying for your insurance even after the 22% mark. But if you are planning to leave your home in fewer than ten years, that probably won't matter. Ask your lender to run the figures on both scenarios—PMI and LPMI—to see which one is better for you.

- **Condominium and cooperative fees. Condos and co-ops** are housing units (usually apartment buildings) that are jointly owned. Each resident owns his or her own unit or apartment, while the common spaces (stairwells, elevators, hallways, lobbies) are owned collectively by all the residents. To pay for the upkeep of these common spaces, residents pay extra fees, known as **maintenance fees** or **common charges**.

The primary difference between a co-op and a condo is the way in which the units are owned. In a co-op, residents do not technically own the apartments; instead they own **shares**, or units of ownership, in the cooperative. The cooperative owns all the units in the building. In order to buy or sell units in a co-op, residents usually must get approval from the **co-op board**, which is a group of co-op residents. With a condo, residents have more autonomy; they own the apartment and can usually buy and sell the place without getting permission from any board.

It's good to ask questions such as whether you're allowed to rent out your apartment or whether it's permitted to join two smaller apartments into one. These issues may not seem